

Forex Management - User & Process Guide

Company: Nutrich Foods Pvt Ltd
ERP Site: nutrichdev.erpkey.in
App: export_sanpra
ERPNext: Version 16
Prepared: 18 August 2026

Purpose: Manage export foreign-currency exposure from Sales Order through Forward Contract booking, utilization, bank settlement, gain/loss analysis and closure without modifying ERPNext core accounting.

1. End-to-End Process

Export Sales Order → Forward Contract → Sales Invoice → Customer Receipt → Forward Utilization → Bank Settlement → Gain/Loss Review → Contract Closure

1. Create and submit a foreign-currency Sales Order.
2. Book one or more Forward Contracts against the order.
3. Submit the Forward Contract after checking bank, dates, amount and rate.
4. Create Sales Invoice through the normal ERPNext sales process.
5. Create one or more Forward Contract Utilizations against the invoice/receipt.
6. Receive customer payment using standard Payment Entry. Do not bypass ERPNext exchange gain/loss processing.
7. Record bank settlement and actual realization rate.
8. Review operational gain/loss reports and bank charges.
9. After all utilizations/settlements are complete, close the operational contract.

2. Initial Company Configuration

Open **Company → Nutrich Foods Pvt Ltd → Forex / Forward Contract Accounts**.

Setting	Use
Allow Forward Overhedging	Keep unchecked unless management authorizes booking above Sales Order foreign amount.
Forex Gain/Loss Accounts	ERPNext exchange difference account references.
Forward Contract Gain/Loss Accounts	Reserved for configurable forward-settlement accounting.
Forex Bank Charge Account	Bank charges related to realization/settlement.
Default Forex Cost Center	Default analytical cost center.
Enable Forward Maturity Notifications	Enables daily reminder emails.
Notify Before Days	Comma-separated reminder days, e.g. 7,3,1,0.
Forex Manager Role	Enabled users with this role receive maturity reminders.

3. Entry Flow - Forward Contract

1. Open a submitted export Sales Order.
2. Click **Create → Forward Contract**.
3. Confirm copied fields: Company, Customer, Sales Order, Currency and Sales Order Total.
4. Enter Bank, Bank Account, bank contract number, Booking Date, Maturity Date, Contract Amount and Forward Rate.
5. Optionally enter dealer/reference, charges, revised maturity or rollover references.
6. Save and Submit.

System calculates: **Contract Company Value = Contract Amount × Forward Rate; Available = Contract Amount – Submitted Utilizations; Hedge % = Booked ÷ Sales Order Total × 100.**

A submitted Sales Order is mandatory. Currency must match. With over-hedging disabled, total submitted contracts cannot exceed the Sales Order grand total.

4. Worked Example

Item	Value
Sales Order	USD 100,000
Forward booking	USD 80,000 @ INR 84.50
Unhedged exposure	USD 20,000
Utilization	USD 60,000
Available forward balance	USD 20,000
Hedge percentage	80%

5. Entry Flow - Utilization

1. From a submitted foreign-currency Sales Invoice click **Create → Forward Utilization**, or open the submitted Forward Contract and click the same action.
2. Select an eligible contract. Eligibility requires matching company, customer and currency, active status and positive available balance.
3. Enter Utilization Date and amount. Link Sales Invoice and/or Payment Entry where applicable.
4. Confirm Forward Rate, invoice/reference exchange rate and settlement rate.
5. Save and Submit.

Every submit or cancellation recalculates utilization from all submitted utilization records. No incremental balance is trusted. Status becomes Open, Partly Utilized or Fully Utilized.

Multiple contracts against one invoice are handled by creating separate utilization transactions, preserving a complete audit trail.

6. Customer Receipt and Accounting

1. Create Payment Entry using ERPNext's standard Receive flow and allocate the Sales Invoice.
2. Enter the bank realization/exchange values required by standard ERPNext.
3. Optionally link Forward Contract and Utilization in the Forex section.
4. Submit Payment Entry normally.

Important: The module does not replace or duplicate ERPNext's exchange gain/loss posting. Forward booking is an off-balance-sheet operational record. Reports provide analytical forward performance separately.

7. Entry Flow - Bank Settlement

1. Open **Forward Contract Settlement → New**.
2. Select the Forward Contract. Company, Bank, Currency, Rate and available context are fetched.
3. Enter Settlement Date, Settlement Amount, Actual Bank Rate and accounting Reference Value.
4. Enter Bank Charge and optional Journal Entry reference.
5. Save and Submit.

Forward Value = Amount × Forward Rate. **Actual Value** = Amount × Actual Bank Rate. **Gain/Loss** = Actual Value – Reference Value.

The server blocks settlement above the utilized-but-unsettled foreign amount and blocks mismatched company, bank or currency.

8. Cancellation, Closure and Rollover

- A Forward Contract cannot be cancelled while submitted utilizations exist.
- Cancel linked utilizations first; balances and status are recalculated from submitted records.
- Use cancellation amount/charge for operational tracking.
- Use revised maturity date for an approved extension.
- Use Rollover From/To links to preserve the original-to-new contract chain.
- Critical submitted fields cannot be silently modified; amend the document when changes are required.

9. Reports and Their Use

Report	Management Use
Forward Contract Register	Complete contract register with booking/maturity date filters.
Open Forward Contracts	Available balances and Expired/Due Soon/Upcoming indicators.
Forward Contract Utilization Report	Audit utilization by contract, invoice, payment and date.
Export Order vs Forward Booking	One row per Sales Order: booked, utilized, available, unhedged and hedge %.
Hedged vs Unhedged Exposure	Management chart comparing hedged and unhedged exposure.
Contract Maturity Report	Overdue, Today, Next 7/15/30 Days and Later buckets.
Forex Gain Loss Report	Invoice/reference, forward, actual realization, charges and net analytical result.
Bank Wise Forward Contract Summary	Contract count, weighted average rate, balances, gain/loss and maturity concentration by bank/currency.

10. Roles and Controls

Role	Access
Forex Manager	Create, edit, submit, cancel, amend and report.
Accounts Manager	Read/report contracts; create and process settlements/utilizations as configured.
Accounts User	Read and utilization/report access.
Sales User	Read-only contract visibility; cannot change bank contract details.

11. Daily Monitoring Checklist

1. Review Open Forward Contracts and expired balances.
2. Review Contract Maturity Report for next 7/15/30 days.
3. Compare Export Order vs Forward Booking for unhedged orders.
4. Record new invoice/payment utilizations promptly.
5. Reconcile bank settlement advice, charges and actual rate.
6. Review Forex Gain Loss and Bank-wise Summary.
7. Close or roll over contracts only after approvals and linked transaction checks.

12. Validation and Test Evidence

- All eight reports executed successfully.
- USD Sales Order mapping verified.
- Submit → partial utilization → cancellation guard → utilization cancel → contract cancel flow passed.
- Zero amount/rate, invalid maturity, currency mismatch, over-hedging and utilization overflow were blocked.
- Settlement values and gain/loss passed.
- Over-settlement was blocked.
- Two daily jobs are active: maturity status and notification email.
- Tests used database savepoints and left no test transactions.

13. Troubleshooting

- **Create button missing:** Confirm document is submitted and currency differs from Company currency; refresh/clear browser cache.
- **No eligible contract:** Check company, customer, currency, status, maturity context and available balance.
- **Over-hedging error:** Reduce booking or obtain approval and enable Company setting.
- **Cancellation blocked:** Cancel submitted utilizations first.
- **No reminder email:** Enable Company notification setting, validate reminder days, role membership and user email status.
- **Accounting mismatch:** Reconcile standard Payment Entry exchange posting separately from analytical forward settlement values.

14. Automatic Settlement GL and Mark-to-Market

- Configure and verify the Forward Gain, Forward Loss, Bank Charge, MTM Unrealized Gain, MTM Unrealized Loss, MTM Asset/Liability and default Forex Cost Center fields on Company.
- Enable Automatic Forward Settlement GL only after configuration approval. Settlement posts only the hedge difference: $(\text{Forward Rate} - \text{Actual Bank Rate}) \times \text{Settlement Amount}$, plus bank charges. Standard Payment Entry continues to own ordinary exchange gain/loss.
- Enable Forward MTM GL to submit Forward Contract Valuation documents. Export MTM is $(\text{Forward Rate} - \text{Market Rate}) \times \text{Open Amount}$; Import uses the reverse direction.
- Each valuation posts only the movement from the previous submitted valuation, so the MTM balance equals the latest valuation. Cancel valuations newest-first.
- Linked Journal Entries use deterministic source-linked names and are cancelled with their Settlement or Valuation.

Forward booking itself creates no GL entry. Settlement and MTM GL posting are opt-in Company controls and remain disabled until all required accounts are configured and approved.